

FULLY-INFORMED INVESTMENT DECISION: wild guess

BREAKING EVEN: a loss as explained to family, friends, and neighbors

CALL OPTION: the right to buy a stock later at a price agreed upon today (buyer hopes stock will go up); the chance to buy something later for much more than it will be worth

PUT OPTION: the right to sell a stock later at a price agreed upon today (buyer hopes stock will go down); the chance to sell something later for much less than it will be worth

BULL SPREAD, BEAR SPREAD, STRADDLE, ETC.: buying puts and calls, or options and futures, in various combinations to reduce risk or enhance potential gain; throwing good money after bad

HEDGER: person who uses futures and options to reduce risk of doing business; unknown individual, imaginary character

ARBITRAGEUR: person who buys and sells the same thing simultaneously, but at different prices, thereby securing a risk-free profit; person who ends up with all your money

RISK ARBITRAGE: investing in obvious takeover situations for maximum gain with minimum risk; taking a chance on the latest rumors

TECHNICAL ANALYST: person who thinks market action itself can predict future course of markets; deluded individual

CHARTIST: kind of technical analyst who reads charts; wiggle watcher, solopocist, totem worshiper

FUNDAMENTALIST: person who thinks that earnings, condition of companies, etc., will determine future stock prices; deluded individual

IRRATIONAL MARKET: a market that isn't doing what you want it to; every market